

All-Transactions House Price Index for California**1.) Why the variable?**

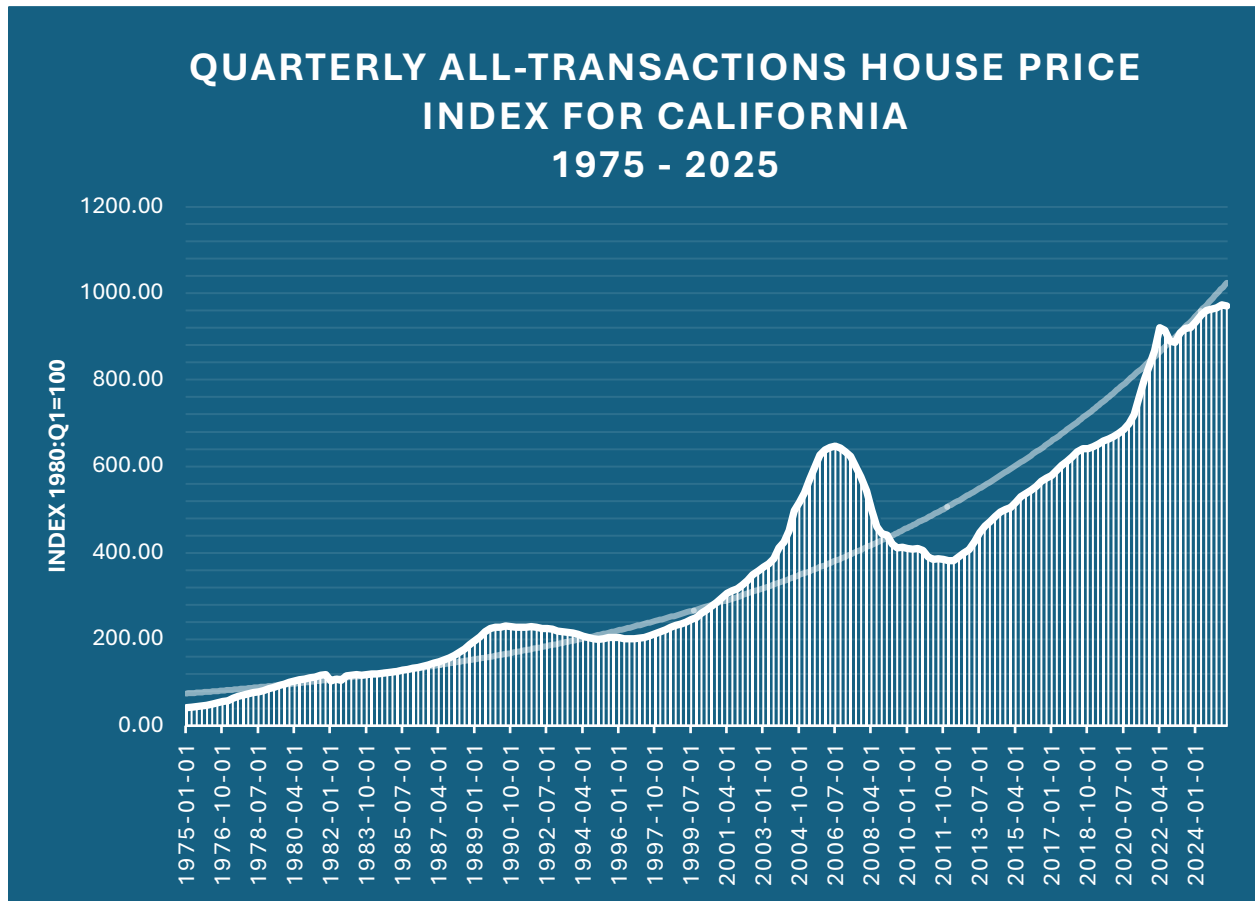
I chose the variable because of my interest in learning more about housing prices. I went with California specifically because it has a wide range of housing prices across the large state. When I took a plane to San Diego, the first thing I noticed was the endless amount of suburban like houses that kept going beyond the horizon. What I hope to learn from this project is to better understand the housing market in California. I would also like to figure out how to better use past data and shape it into something that can be useful for someone else.

2.) About the Data

The value for the data is represented by an index with a set base of one hundred. The base is from the first quarter of 1980. There are two hundred and three observations, and each value is measured at a quarterly rate. The data that is gathered is from the FRED website and I chose the Excel format. The source of the data is found below.

(<https://fred.stlouisfed.org/series/CASTHPI>)

3.) Time Series Chart



4.) Chart Analysis

The chart shows the house prices for California as an upward trend throughout the series.

A notable increase is observed in the early 2000s, but then it declines rapidly between 2007 and 2008. The cause for this is the 2008 financial crisis as the housing market collapsed in the state. A valley is prevalent until 2012, and it starts to flow upwards. From that point on, the price index surpasses the past peak in 2007 and increases rapidly in 2020. The chart indicates that house prices tapered off after 2024.